Social Security Solvency

Without Benefit Cuts or Raising the Retirement Age: A Proposal for Long-Term Retirement Security

Gregory L. Meyers

A Proposal for Long-Term Retirement Security

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Gregory L. Meyers

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Executive Summary

Social Security remains one of the most successful anti-poverty and retirement security programs in American history. For millions of Americans, it serves as the foundation of financial security in retirement and protects elderly citizens from poverty, homelessness, and economic hardship.

The challenge facing policymakers is not whether Social Security should continue. The challenge is how to maintain solvency while preserving its core promise to workers who have paid into the system throughout their lives.

Many reform proposals rely on benefit reductions, means testing, or increases in the retirement age. This proposal takes a different approach.

The central principle of this paper is straightforward:

SOCIAL SECURITY SOLVENCY SHOULD BE ACHIEVED WITHOUT REDUCING EARNED BENEFITS.

This proposal seeks to strengthen Social Security finances through:

- Elimination of the payroll tax cap, with no additional benefits for earnings above the current cap.
- Inclusion of high-income pass-through business income within the contribution base.
- A 12.4 percent contribution on investment income above $1 million, with no added benefits.
- Exploration of a supplemental Social Security endowment funded only from excess revenue.
- Long-term actuarial evaluation and independent fiscal analysis.

This paper does not claim to provide a final actuarial solution. Instead, it presents a framework intended for review, critique, and further development by economists, policymakers, actuaries, and the public.

Introduction

Social Security represents a unique compact between generations.

Workers contribute throughout their careers with the understanding that a reliable retirement benefit will be available when they reach retirement age. The program provides retirement security while reducing elderly poverty and supporting economic stability throughout the country.

For most Americans, Social Security was never intended to function as an investment account. It was designed as social insurance.

The primary purpose of Social Security is not maximizing financial returns for contributors.

Its purpose is ensuring that elderly Americans are able to retire with dignity.

Any reform should therefore begin with the following question:

How can Social Security remain financially sustainable without reducing the benefits that workers were promised?

This paper argues that revenue reform should be explored before benefit reductions.

The Solvency Challenge

Social Security faces long-term demographic pressures.

Several factors contribute to these challenges:

- Americans live longer on average than previous generations.
- The ratio of workers to retirees has declined.
- Population aging increases the number of beneficiaries.
- Lower fertility rates and slower workforce growth reduce contributor growth.

These trends place increasing pressure on a financing system that depends heavily on payroll contributions.

The Baseline: What the 2026 Trustees Report Projects

The Social Security Board of Trustees' 2026 annual report projects the following [1][2]:

- The Old-Age and Survivors Insurance (OASI) trust fund, which pays retirement and survivor benefits, is projected to deplete its reserves in the fourth quarter of 2032, after which incoming revenue would cover about 78 percent of scheduled benefits.

- On a hypothetical combined basis with the Disability Insurance (DI) trust fund, reserves would last until 2034, with about 83 percent of scheduled benefits payable. The two funds are legally separate, so this combined date is hypothetical.
- The 75-year actuarial deficit is 4.42 percent of taxable payroll, up from 3.82 percent in the previous report. The main driver of the increase was lower projected revenue from the income taxation of benefits following the 2025 reconciliation law (Public Law 119-21), together with a lower assumed fertility rate [7][8].
- Combined trust fund reserves ended 2025 at $2.56 trillion.

These figures are the starting point for evaluating each proposal in this paper. The sources are listed at the end of the paper.

Numerous proposals have emerged in response.

Common proposals include:

- Raising the retirement age.
- Cutting future benefits.
- Means testing retirees.
- Privatization.
- Increasing payroll tax rates.

While each proposal has advantages and disadvantages, this paper focuses primarily on revenue reforms rather than reductions in benefits.

Guiding Principles

Principle 1: Preserve Earned Benefits

Workers who contribute throughout their careers should be able to rely on promised retirement benefits.

Reforms should prioritize preserving benefits whenever possible.

Principle 2: Protect Middle-Class Workers

Any financing solution should avoid placing disproportionate burdens on middle-income households.

Additional financing should primarily come from higher-income individuals with greater capacity to contribute.

Principle 3: Maintain Public Legitimacy

Social Security remains politically durable because it is broadly universal.

Participants contribute and participants receive benefits.

Reforms should preserve that legitimacy.

Under this proposal, every covered worker would continue to contribute and to receive a benefit. Contributions above the current taxable maximum would support the system without raising benefits.

Principle 4: Achieve Long-Term Stability

Temporary fixes should not create larger problems in future decades.

Financing mechanisms should be durable and predictable.

Principle 5: Protect Future Generations

Current retirees and future retirees both deserve a stable system.

The burden of solvency should not fall entirely on future workers.

Reform One: Eliminate the Payroll Tax Cap

The most significant proposal in this paper is the elimination of the Social Security payroll tax cap.

Under current law, earnings above a designated threshold (the taxable maximum, $184,500 in 2026) are generally excluded from Social Security payroll taxation [1].

This creates a situation in which high-income earners pay Social Security taxes on a declining share of total earnings as income rises.

The Social Security payroll tax cap shall be eliminated so that all covered earnings are subject to contributions, rather than only earnings up to the current taxable maximum. Under this proposal, all wage income would be subject to Social Security payroll taxes regardless of income level.

Medicare's hospital insurance payroll tax already applies to all earnings, with no annual maximum, which provides a precedent for an uncapped payroll tax [1]. Treatment of the employer's share would be specified in implementing legislation.

No Additional Benefits for Earnings Above the Cap

Earnings above the current taxable maximum shall not increase Social Security benefits. Under this proposal, benefits would continue to be calculated only on earnings up to the taxable maximum, which would continue to rise each year with average wage growth, as under current law. Social Security's purpose is to ensure that retired Americans are not left in poverty, not to replace very high earnings.

This design improves the financial effect of the reform because it adds revenue without adding future benefit obligations. Economists and policymakers may reasonably disagree about whether contributions above the maximum should be viewed primarily as social insurance financing, progressive taxation, or some combination of both.

Economic Rationale

The proposal rests upon several arguments:

- High-income households have benefited substantially from economic growth.
- Removing the cap broadens the contribution base.
- Additional revenue would be concentrated among households most able to contribute.
- Middle-income workers could be protected from additional payroll tax increases.

The objective is to strengthen program financing without reducing benefits.

Questions Requiring Analysis

Several important questions remain unresolved:

- How much revenue would elimination of the cap generate under current projections?
- What behavioral responses would result?
- Would compensation shift toward non-wage forms?
- How would labor markets respond?
- Would additional anti-avoidance provisions be required?

These questions require independent economic analysis.

Public estimates provide a starting point. Social Security's Office of the Chief Actuary has published scores of removing the cap both with and without benefit credit for the added earnings [3][4]. In its 2021 scoring of a version that credits benefits on the added earnings, removing the cap closed about 57 percent of the then-projected 75-year deficit of 3.54 percent of taxable payroll, a gain of 2.00 percentage points of payroll [4]. Its 2016 scoring of a version with no benefit credit, the design proposed here, showed a gain of 2.36 percentage points [3].

The Chief Actuary's most recent score of the no-benefit-credit design, on the 2025 Trustees Report's assumptions, shows a gain of about 2.55 percentage points of payroll [7]. Against the 2026 report's deficit of 4.42 percent, that would close roughly 58 percent of the gap and leave about 1.9 percent. A score on the 2026 assumptions is still needed. In a Congressional Research Service analysis, about 83 percent of covered earnings were subject to the payroll tax [5].

Reform Two: Include High-Income Pass-Through Income

High-income individuals often receive income through structures such as:

- Partnerships
- S-Corporations

- Sole Proprietorships

Under current law, sole proprietors and general partners pay self-employment tax on net earnings up to the taxable maximum. Owners of S-corporations pay payroll tax on the salary they take but not on distributions, subject to a reasonable-compensation requirement. Limited partners are generally not subject to self-employment tax on their share of partnership income.

Pass-through business income shall be subject to contributions on the same basis as wages, regardless of legal structure. Structures designed primarily to avoid contributions shall face corrective taxation.

The objective is neutrality.

Equivalent economic activity should not receive dramatically different treatment solely because of legal structure.

Anti-Sheltering Principle

The proposal seeks to reduce incentives to restructure income primarily for contribution avoidance.

If payroll taxation applies broadly to wage earnings but not to economically similar pass-through income, incentives emerge to rearrange compensation structures rather than create productive value.

A more neutral system may strengthen program financing while reducing avoidance opportunities.

Questions Requiring Analysis

Important questions include:

- How significant is current avoidance?
- What additional compliance costs would arise?
- Could entrepreneurship be negatively affected?
- What administrative mechanisms would be required?

These issues warrant careful review by economists and tax experts.

Reform Three: Contribution on Investment Income Above $1 Million

Wages pay Social Security contributions; investment income does not. At the very top, most income comes from investments, so even with the payroll tax cap removed, the wealthiest households would contribute on only a small share of their income.

This paper therefore proposes a 12.4 percent contribution, the combined rate on wages, on net investment income (gains, dividends, interest, rents, royalties, and passive business income) to the extent a taxpayer's income exceeds $1 million ($2 million for married couples filing jointly),

indexed for inflation. Like earnings above the taxable maximum, this income earns no added benefits. Revenue goes to the Social Security trust funds.

By platform arithmetic built from published estimates of similar surtaxes, the contribution may raise about $300 billion to $850 billion over ten years, roughly 0.2 to 0.6 percent of taxable payroll. That would leave about 1.3 to 1.7 percent of the 75-year deficit to close.

The design has costs. With this contribution, the top federal rate on long-term gains and dividends would be 55.8 percent, the same as the top rate on wages, but well above the roughly 42 percent rate at which revenue from gains is estimated to peak. Wealthy taxpayers may hold assets longer to defer the contribution, so most of the revenue is likely to come from dividends, interest, and rents rather than gains.

Reform Four: Social Security Endowment

This paper also proposes exploration of a supplemental Social Security endowment.

The concept is inspired in part by sovereign wealth models that invest public assets on behalf of future generations.

The endowment would not replace payroll financing.

Rather, it would serve as an additional layer of long-term financial support.

Funding

The endowment would be funded only from excess revenue: revenue from the reforms in this paper that remains after higher-priority needs are met, including paying scheduled benefits and maintaining trust-fund reserves. Current estimates suggest no excess would exist: the reforms in this paper leave about 1.3 to 1.7 percent of taxable payroll unfunded. If the revenue reforms fall short of closing the long-term gap, the endowment would not be funded, and the residual-gap question in the Open Policy Question section would apply.

Revenue from the platform's wealth tax would not be used to capitalize this endowment; it is reserved for a recession reserve and later-tier General Fund programs.

Under current law, the trust funds hold special Treasury securities, so investing in diversified market funds would require legislation.

Purpose

The objective is diversification.

Currently, Social Security depends heavily on payroll contributions.

An endowment could provide an additional source of long-term support through investment returns. Its size would depend on the excess revenue available to capitalize it.

Governance Principles

Any endowment should operate according to strict rules:

Independent Management

Investment decisions should be insulated from routine political pressures.

Broad Index Investing

Assets should primarily be invested through diversified market index funds rather than politically directed investments.

Non-Voting Ownership

Government should not acquire direct corporate control through investment ownership.

Transparency

The endowment should provide:

- Annual reports
- Performance disclosures
- Cost disclosures
- Independent audits

Why Not Raise the Retirement Age?

One of the most common reform proposals is increasing the retirement age.

This paper rejects that approach.

This proposal maintains the current full retirement age of 67 [6] and opposes any further increase.

While life expectancy has increased overall, gains have not been equally distributed across all demographic and occupational groups.

Workers in physically demanding occupations often experience:

- Greater workplace wear and tear.
- Lower life expectancy.
- Greater difficulty extending careers into advanced age.

Raising the retirement age effectively reduces lifetime benefits for future retirees.

This proposal therefore rejects further retirement-age increases as a solvency strategy.

Why Not Means Testing?

This proposal also rejects adding new means tests that reduce benefits based on income or wealth.

Means testing is often presented as a method of concentrating resources on lower-income retirees.

Social Security already contains progressive features. The benefit formula replaces a larger share of earnings for lower earners, and higher-income retirees pay income tax on up to 85 percent of their benefits [1]. This proposal builds on those existing features rather than adding a new benefit-reduction test.

However, substantial means testing introduces several challenges.

First, it weakens the connection between contributions and benefits.

Second, it risks transforming Social Security from a universal social insurance program into a targeted welfare program.

Third, it may undermine long-term political support for the system.

This proposal maintains that individuals who contribute should continue receiving benefits regardless of income level.

High-income earners would contribute more under payroll-cap reform, but they would continue receiving benefits.

Areas Requiring Further Research

This white paper intentionally avoids making claims that have not yet been independently verified.

Several critical areas require additional study.

These include:

- Independent actuarial scoring.
- Dynamic revenue modeling.
- Behavioral response estimates.
- Labor-market effects.
- Administrative cost estimates.
- Distributional analysis.
- Long-term investment-return projections.

Additional analysis should occur before implementation of any reform package.

Open Policy Question

One unresolved issue remains particularly important.

If elimination of the payroll tax cap, pass-through income integration, and the contribution on investment income prove insufficient to achieve long-term solvency, what should occur next? Current estimates suggest they will: about 1.3 to 1.7 percent of taxable payroll would remain.

Potential options include:

- Utilizing endowment returns.
- Additional revenue reforms.
- General-fund support.
- Payroll tax adjustments.
- A combination of approaches.

This paper does not take a final position on that question.

Instead, it presents the issue as an open area for future economic and actuarial analysis.

Known Limitations

This paper is a conceptual policy proposal rather than a completed actuarial reform package.

The proposals outlined here have not yet been subjected to comprehensive actuarial scoring, dynamic revenue modeling, or independent fiscal analysis. While the framework identifies potential mechanisms for improving Social Security's long-term financial position, the magnitude of their effects remains uncertain.

Several important questions remain unresolved, including:

- The total revenue impact of eliminating the payroll tax cap.
- Behavioral responses by employers, employees, and high-income taxpayers.
- Administrative and compliance costs associated with pass-through income integration.
- Long-term investment performance assumptions for a Social Security endowment.
- Distributional impacts across income groups and generations.
- The size of any remaining long-term solvency gap after implementation of the proposed reforms.

This paper therefore should not be interpreted as a claim that Social Security solvency has been definitively solved. Rather, it presents a framework intended for evaluation, criticism, refinement, and further analysis.

Where evidence remains incomplete, this paper intentionally leaves certain policy choices open. In particular, if the proposed revenue reforms prove insufficient to achieve long-term solvency,

the appropriate next steps remain an open question requiring independent economic and actuarial review.

The purpose of this proposal is not to provide final answers to every aspect of Social Security reform. The purpose is to identify a potential path forward and invite rigorous scrutiny from economists, actuaries, policymakers, and the public.

Questions for Economists and Policy Experts

This proposal is intended to invite criticism and review.

Feedback would be especially valuable regarding the following questions:

1. Should elimination of the payroll tax cap be expected to materially improve long-term solvency?
2. What behavioral responses are most likely?
3. How should pass-through income be treated?
4. Can a sovereign-style endowment meaningfully improve retirement-system resilience?
5. What are the most significant unintended consequences of this proposal?
6. What additional modeling would be required before policymakers should consider implementation?
7. If a residual financing gap remains, what solution would economists recommend?

Conclusion

Social Security remains one of the nation's most important institutions.

The challenge is not whether retirement security should exist. The challenge is how to preserve it responsibly.

This proposal begins with a simple principle:

Social Security solvency should be achieved without reducing earned benefits.

Rather than focusing first on benefit cuts, means testing, or raising the retirement age, this paper proposes exploring revenue reforms and long-term reserve mechanisms. It does not claim to provide a final answer. Instead, it seeks rigorous scrutiny, independent analysis, and informed debate.

The purpose of this paper is not to end the discussion.

The purpose is to begin it.

Sources

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